



VELO

SWAP • EARN • TRANSFER

Non-Custodial DeFi Infrastructure for Hedera

WHITEPAPER v2.0

veloexchange.org • Mainnet Live

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01

Executive Summary

Velo is a non-custodial decentralized exchange and yield protocol built natively on Hedera. It lets users swap tokens, stake HBAR, and transfer assets directly from their own wallet — MetaMask-compatible (EVM/ECDSA) or native HashPack (ED25519) — without ever handing custody of funds to a Velo-controlled account.

Every swap routes through an on-chain proxy contract directly into SaucerSwap V2, Hedera's leading concentrated-liquidity DEX. Every stake is held by a vault contract with no owner and no admin functions — not even Velo itself can move a user's staked HBAR. This is a deliberate architectural choice: trust is enforced by code and verifiable on HashScan, not by a promise.

AT A GLANCE

Network	Hedera Mainnet (chain id 295)
Swap engine	SaucerSwap V2 (single-hop, all fee tiers)
Protocol fee	0.25% — held in-contract, owner-withdrawable
Staking vault	No owner — zero admin functions, Sourcify-verified

02

The Friction Problem

DeFi's core promise — self-custody, transparent rules, permissionless access — is routinely undermined in practice by three recurring failures:

- Custodial shortcuts. Many “DeFi” products quietly route user funds through a company-controlled wallet, reintroducing the exact counterparty risk self-custody was meant to remove.
- Opaque yield. Advertised APYs are often subsidized, unsustainable, or simply not backed by an on-chain contract a user can inspect.
- Fragmented wallet support. Hedera's ecosystem spans both EVM-style (ECDSA) and native (ED25519) wallets; most dApps only support one, forcing users into a wallet they don't already use.

Core Protocol — Swap

Velo Swap is a thin, non-custodial routing layer on top of SaucerSwap V2. It never holds user funds beyond the lifetime of a single transaction.

How a swap executes

- The user's wallet sends tokens (or HBAR) directly to the VeloMainnetProxy contract in the same transaction that requests the swap — there is no separate deposit step and no pooled treasury balance.
- The proxy calls SaucerSwap V2's `exactInputSingle` against the live on-chain pool, using a quote sourced from real-time pool state (reserves, liquidity, and fee tier) across all four SaucerSwap fee tiers — 500 / 1500 / 3000 / 10000 — to select the best available price.
- A 0.25% protocol fee is retained in-contract; the remainder is forwarded to the user's wallet in the same atomic transaction. The fee is owner-withdrawable but the swap itself completes or reverts entirely on-chain — there is no path for a partial or silently-failed swap to be reported as successful.

Scope

Current routing is single-hop: the input and output token must share a direct SaucerSwap V2 pool. In practice this covers HBAR/WHBAR and the actively listed token set below. Multi-hop routing (`exactInput` with a path) is on the roadmap to enable true any-to-any swaps.

ACTIVELY LISTED TOKENS

HBAR	Native	Hedera's native asset
WHBAR	0.0.1456986	Wrapped HBAR, SaucerSwap-canonical
SAUCE	0.0.731861	SaucerSwap governance token
xSAUCE	0.0.1460200	Staked SAUCE
USDC	0.0.456858	Native Circle USDC on Hedera

New listings require a real mainnet id, EVM address, and a live SaucerSwap V2 pool — no unverified additions.

Core Protocol — Earn

Velo Earn is a single-purpose HBAR staking vault contract. It is intentionally minimal: it has no owner, no admin key, and no pausable or upgradeable logic. The only accounts that can move a given user's staked balance are that user's own wallet, via `stake()` and `unstake()`.

TRUST BY CONSTRUCTION

The vault contract holds zero admin functions — not pause, not withdraw-on-behalf-of, not upgrade. This is verifiable directly on-chain; it is not a policy that could change.

Dual-wallet staking

- EVM wallets (MetaMask, Reown AppKit) stake and unstake via a standard contract call.
- Native HashPack (ED25519) wallets call the same vault directly through a `ContractExecuteTransaction` — no wrapping, no bridge, no intermediary contract.

Vault contract (EVM)

0x58525E513a4e4F4Dd732804C2AF42096091dC9eb

Native id

0.0.10647892

Wallet Support

Velo is one of a small number of Hedera dApps that treats both major wallet families as first-class:

- EVM / ECDSA — MetaMask and any Reown AppKit / WalletConnect-compatible wallet. Supported across Swap, Earn, Transfer, and the site header.
- Native HashPack / ED25519 — paired directly via HashConnect, signing native Hedera transactions (`ContractExecuteTransaction`, `TransferTransaction`) with no EVM translation layer. Supported on Earn and Transfer today; when both wallet types are connected, the EVM path is used by default.

06

Transfer

Velo Transfer sends HBAR or HTS tokens directly wallet-to-wallet — no intermediary contract, no custody. Both wallet families are supported, with an optional memo field for destinations that require one (most centralized exchange deposit addresses, for example, require a memo/tag to credit the correct account). Because a memo can only be reliably attached on the native transaction path, Velo detects memo-less exchange-style transfers from EVM wallets and blocks them rather than risking a deposit that arrives with no memo and cannot be credited.

07

XP & Community

Velo tracks on-chain activity — swaps, stakes, and transfers — as XP, a transparent reputation layer used for the public leaderboard, Discord role verification, and community quests.

- Every swap and every transfer/stake earns XP, keyed to a canonical wallet identity (Hedera 0.0.x ids are resolved to their EVM alias, so the same user is tracked consistently across both wallet types).
- A Discord bot (/leaderboard, /rank, /verify) surfaces this real XP inside Velo's Discord server — not a generic chat-activity score. /verify links a Discord account to a wallet through a signed, single-use message (never a transaction) and grants roles based on real XP thresholds.
- Community quests (via Galxe) reward genuine protocol usage — connecting a wallet, completing a real swap — verified against the same on-chain activity data, not just link clicks.

JOIN THE COMMUNITY

Discord: discord.gg/7pECvMqnn9

App: veloexchange.org

08

Technical Infrastructure

- Frontend — Next.js 16 (App Router) + TypeScript, deployed on Vercel.
- Smart contracts — Solidity, deployed to Hedera mainnet and Sourcify-verified for public inspection on HashScan.
- Data — Hedera mainnet mirror nodes for on-chain reads (balances, receipts, contract results); Supabase/Postgres for off-chain XP indexing only — no funds ever touch this layer.
- Quoting — swap prices are computed locally from live SaucerSwap V2 pool state using the same constant-product-with-concentrated-liquidity math the pools themselves use, cross-checked against real trade outcomes.

09

Roadmap

LIVE NOW

Mainnet Swap (SaucerSwap V2), Earn vault, Transfer with memo support, dual EVM/HashPack wallets, XP + Discord + Galxe integration.

NEAR-TERM

Unlimited auto-association on the swap proxy so it can hold any fee token without manual association; native HashPack signing extended to Swap.

LATER

Multi-hop routing (exactInput with a path) for true any-to-any swaps; additional token listings as their mainnet ids and V2 pools are verified.

10

Contact

Velo has no VELO token in circulation and makes no yield-rate promises — every claim in this document is verifiable directly on-chain.

Website	veloexchange.org
Discord	discord.gg/7pECvMqnn9
GitHub	github.com/Kazam1271/velo-dapp